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U.S. SECURITIES AND EXCHANGE COMMISSION

Working with an Investment Professional

Are you the type of person who will read as much as possible about potential investments and ask questions (https://www.investor.gov/researching-managing-investments/working-investment-professionals/ask-questions) about them? If so, maybe you don't need investment advice.

But if you're busy with your job, your children, or other responsibilities, or feel you don't know enough about investing on your own, then you may need some help.

Brokers (https://www.investor.gov/researching-managing-investments/working-investment-professionals/brokers-advisors) and investment advisers (https://www.investor.gov/researching-managing-investments/working-investment-professionals/brokers-advisors/research-advisor) offer a variety of services at a variety of prices. It pays to comparison shop.

You can hire a broker, an investment adviser, or a financial planner to help you make investment decisions. You can also get investment advice from most financial institutions that sell investments, including brokerages, banks, mutual fund companies, and insurance companies.

There is no such thing as a free lunch. Investment advisers and brokers do not perform their services as an act of charity. If they are working for you, they are getting paid for their efforts. Some of their fees are easier to see immediately than are others. But, in all cases, you should always feel free to ask questions about how and how much your adviser is being paid. And if the fee is quoted to you as a percentage, make sure that you understand what that translates to in dollars.

Check out your Investment Professional

Choosing whether to work with a professional – and deciding which type is best for you – is a very important decision. The most important question that you should consider before hiring an investment professional is whether the person is registered with us or with a state securities regulator. It is really risky to invest with someone who isn't licensed and we urge you not to do it. Investor.gov (https://www.investor.gov/) has a free and simple search tool that allows you to find out if your investment professional is licensed and registered.

Read the Firm's Relationship Summary

Beginning in summer 2020, registered broker-dealers and registered investment advisers will be required to provide a customer or client relationship summary (also called Form CRS) to retail investors. A firm's relationship summary tells you about:

- the types of services a firm offers;
- the fees and costs you will have to pay for those services;
- conflicts of interest a broker or adviser may have;
- the required standard of conduct associated with the services a firm offers;
- whether a firm and its financial professionals have reportable legal or disciplinary history; and
- key questions (conversation starters) to ask your financial professional.

Each firm's relationship summary uses similar headings and order of topics to make it easy for you to compare firms. You can find more about the relationship summary at Investor.gov/CRS (https://www.investor.gov/CRS) .

Tricky Titles

If a broker or adviser has initials after their name, don't assume that makes that individual more qualified than another. These titles are not all the same and do not necessarily mean better service for you. In fact, the initials may mean that the adviser or broker can only sell certain products. Check the titles to see if there are limits on what that adviser or broker can sell. For instance, if someone can only sell fixed annuities, he or she may be inclined to recommend them for every customer.

Check out this list from FINRA (https://www.finra.org/investors/professional-designations) . It shows how some credentials can be obtained easily, and how others are hard-earned.

Must Read Tip

If you have a brokerage or advisory account, read every statement promptly -- it may not be fun to look at it when the market is down, but it is your most important protection against unauthorized transactions. If you do not object promptly after receiving notification of a transaction, you might not be able to contest it later. You should object in writing to better protect your rights. That's why it's important to read your statement and object right away if something is wrong.

Please use the menu on the left for more information about broker-dealers and investment advisers.

Additional Information

Investor Bulletin: How to Select an Investment Professional (https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-top-tips-selecting-financial)
Updated Investor Bulletin: How to Check Out Your Investment Professional (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/updated-0)
Investor Bulletin: New Rules Give Customers Option of All Public Arbitration Panels (https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/new-rules-give-customers-option-all-public)
Investor Bulletin: How to Read Confirmation Statements (https://www.investor.gov/news-alerts/investor-bulletins/investor-bulletin-how-read-confirmation-statements)